

range of guaranteed income levels he examines. Other findings include that withdrawal rates should be lowered for spending needs that are more fixed in nature and for those with a preference to seek stable spending over time (these are the two aspects of spending flexibility), and withdrawal rates can be higher with higher stock allocations and higher return assumptions. They can be more aggressive because they can afford to have their portfolios fall to zero.

Withdrawal rates, in turn, are linked to probabilities of success. Optimal acceptable success rates do vary quite a bit based on individual circumstances, but as a general rule of thumb, he finds that a 75 percent success rate is generally a more acceptable target than a 90 percent or 95 percent success rate. Again, the most important factor is the level of guaranteed income, as more income from outside the portfolio supports a greater ability to accept a lower success rate for the investment portfolio. It can make sense to choose a retirement income strategy with a much higher failure rate for the investment portfolio than is commonly considered in safe withdrawal rate studies.

A simple focus on a retirement income strategy that applies a low failure rate for the investment portfolio is woefully incomplete. This narrow focus ignores the lost potential enjoyment from spending more even if it means having to cut back later, it ignores how much flexibility retirees may have to cut their spending at a later date, it ignores the availability of other spending resources outside the financial portfolio, it ignores the lowered survival probabilities in late retirement, it ignores any goals to leave a bequest, and it ignores how long the “failure” condition may last. An overreliance on only spending at a “safe” withdrawal rate may unduly sacrifice lifestyle in early retirement. The end result will be that in the majority of cases, retirees will die with a lot of unspent money that they had intended to use to support their lifestyle. Bequests will be unintentionally large at the cost of fully enjoying retirement. Retirees need to be thinking about a more complete model that incorporates all of this when developing their retirement income strategies. Our RIO-Map provides this framework.